

Strategy: Bringing the HealthyWorks Digital Wellness Portal Project Back on Track and On Budget

1. Current Performance Overview

At the three-month checkpoint, the project reported the following metrics:

- Planned Value (PV) = \$100,000
- Earned Value (EV) = \$90,000
- Actual Cost (AC) = \$115,000

These figures yield a Cost Performance Index (CPI) of 0.78 and a Schedule Performance Index (SPI) of 0.90, indicating the project is both over budget and behind schedule. The recovery strategy aims to improve $CPI > 0.95$ and $SPI \geq 1.0$ by the next phase gate review.

2. Recovery Objectives

- Recover three to four weeks of schedule delay through optimized sequencing and parallel execution.
- Reduce cost variance from +15.5% to $\leq +5\%$ by optimizing resource utilization and trimming low-value activities.
- Restore confidence in project governance and reporting accuracy.
- Preserve core functionality for go-live while deferring non-critical enhancements to Phase 2.

3. Key Corrective Actions

A. Scope Optimization

To reduce unnecessary workload and expenditure, the following de-scoping measures will be implemented:

- Retain essential modules: Program Registration, Incentive Management, and Tracking System.
- Defer advanced PET AI coaching enhancements and gamified leaderboards to Phase 2.
- Simplify analytics dashboards to baseline KPI reporting.
- Expected savings: 10–15% of build cost ($\approx$ \$20–\$30K).

B. Schedule Compression

To regain schedule momentum, two schedule compression strategies will be applied:

- Fast-Tracking – Overlap key activities such as testing, training preparation, and user documentation.
- Crashing – Assign additional resources to critical-path modules (Tracking System, Incentive Engine) to shorten duration.
- Combined impact: recover up to four weeks of project delay while maintaining quality.

C. Resource Optimization

Resource utilization will be balanced to improve productivity and reduce overtime:

- Reassign analysts and testers to support concurrent tasks (QA, documentation, UAT prep).
- Deploy temporary development support for AI integration and testing.
- Shift training content development to HR and internal SMEs to reduce consultant cost.

D. Cost Control and Monitoring

- Apply partial contingency release (5%) to offset AI-related overages.
- Introduce a rolling-wave cost forecast updated biweekly.
- Implement variance thresholds requiring sponsor review if $CPI < 0.9$ or $SPI < 0.95$.
- Transition to a visual dashboard tracking actual vs. forecasted cost and schedule trends.

4. Governance and Communication Improvements

Strong governance and stakeholder alignment are critical for maintaining schedule discipline and cost control. The following practices will be implemented immediately:

- Weekly steering committee reviews focused on scope stability and EV metrics.
- Daily stand-ups for the development and testing teams to track blockers.
- Transparent change-control log to capture and approve all scope or budget adjustments.
- Mid-phase progress reports distributed to all stakeholders with updated CPI/SPI indicators.

5. Expected Outcome

By implementing these corrective measures, the project is expected to achieve the following results:

- Revised Estimate at Completion (EAC): \$192,000 (within \$8K of target budget).
- Revised duration: 6 months total with a recovered schedule buffer of two weeks.
- Improvement of CPI from 0.78 → 0.96 and SPI from 0.90 → 1.02.
- Core features delivered on time for the scheduled go-live in January 2026.

6. Conclusion

The combined approach of scope rationalization, schedule compression, resource optimization, and enhanced governance provides a structured and achievable path to bring the HealthyWorks project back on track and on budget. Ongoing earned-value monitoring and transparent communication will ensure sustained performance improvement through project closeout.